PRINCE2®

Project Management

Complete Course Tutorial

7th Edition · PRojects IN Controlled Environments

PeopleCert / AXELOS: Globally Recognized Certification

Course Agenda at a Glance

SECTION 1	SECTION 2	SECTION 3	SECTION 4	SECTION 5	SECTION 6
Introduction & History	7 Principles	7 Practices	7 Processes	People & Leadership	Exam Preparation
What is PRINCE2?	Project Context	Business Case → Progress	Lifecycle Flow	Sustainability	Key Terms
When to Use PRINCE2	Tailoring	Management Products	Roles & Decisions	Digital/Data	Tips & Tricks

SECTION 1

Introduction to PRINCE2

History, Definition & Global Context

What is PRINCE2®?

PRojects IN Controlled Environments – Version 7

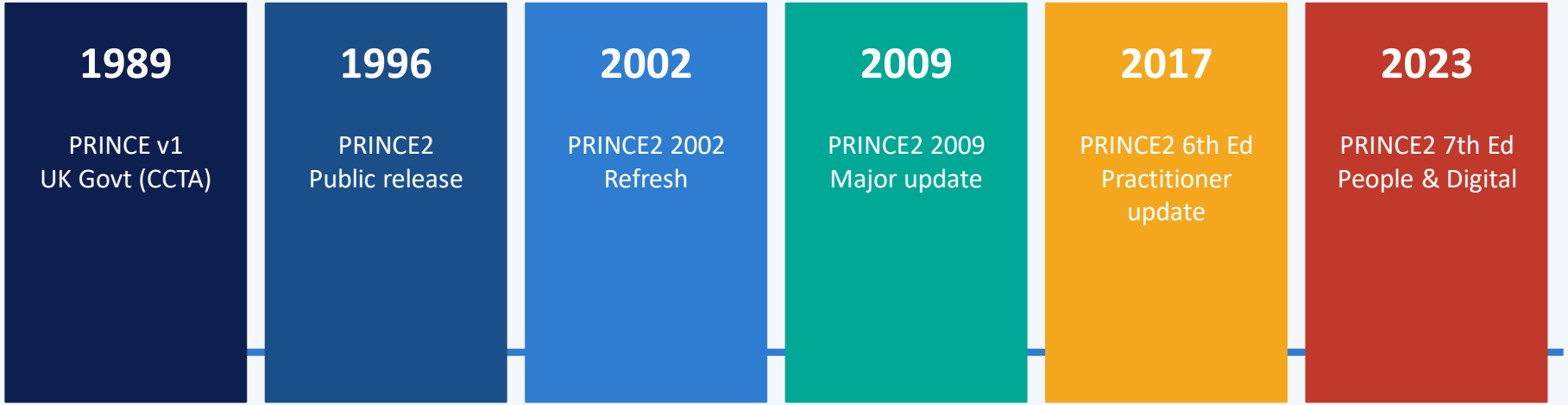
- PRINCE2 is a globally recognized, structured project management method owned by PeopleCert / AXELOS.
- Originally developed by the UK government (CCTA) in 1989, based on PROMPT II methodology.
- 7th Edition (2023) is the most current version — adds People, Sustainability and Digital themes.
- Used in over 150 countries with more than 2 million certified practitioners worldwide.
- Applicable to ANY project type, size, or industry — not prescriptive, but highly adaptable.
- Based on proven best practices and lessons learned from decades of project delivery experience.

2M+
Certified

150+
Countries

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1989

PRINCE2 History & Evolution



PRINCE2 continues to evolve — the 7th Edition reflects modern project environments including agile, digital and sustainability.

Why Use PRINCE2? Benefits & Value

Clear Structure

Defines who does what, when and why — no ambiguity in roles or responsibilities.

Business Justification

Every project must have a valid Business Case — no project continues without it.

Scalable

Tailored to any project scale: from small IT upgrades to national infrastructure.

Risk Management

Systematic approach to identifying, assessing and managing project risks.

Quality Focus

Continuous focus on product quality — defines quality criteria before work starts.

Globally Recognised

Certification valued by employers across public, private and non-profit sectors.

The Five Integrated Elements of PRINCE2

1. Principles — 7 guiding obligations — mandatory for any PRINCE2 project.
2. Practices — 7 aspects that must be continuously managed throughout the project.
3. Processes — 7 step-by-step processes guiding the entire project lifecycle.
4. Project Context — How PRINCE2 is tailored and applied to suit the specific project environment.
5. People — Leadership, team dynamics, communication and stakeholder engagement.

All five elements work together — remove any one and it is no longer a PRINCE2 project.

The Six Aspects of Project Performance

Every project manager must control all six variables

Costs

Budget — what the project is permitted to spend

Timescales

Schedule — when deliverables must be completed

Quality

Standards — fitness for purpose of outputs

Scope

Deliverables — what the project will and won't produce

Benefits

Outcomes — the value gained from the project outputs

Risk

Uncertainty — threats and opportunities to be managed

SECTION 2

The 7 PRINCE2 Principles

Guiding Obligations — the DNA of PRINCE2

Overview: The 7 PRINCE2 Principles

Principles are mandatory — a project not following all 7 is NOT a PRINCE2 project.

P1	Continued Business Justification
P2	Learn from Experience
P3	Defined Roles & Responsibilities
P4	Manage by Stages
P5	Manage by Exception
P6	Focus on Products
P7	Tailor to Suit the Project

P1

PRINCIPLE

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84% of failed projects had no valid Business Case

Continued Business Justification

A PRINCE2 project must have a valid, documented, and approved business justification that remains viable throughout the project lifecycle.

- The Business Case documents WHY the project is needed and its expected benefits.
- Justification must be maintained and reviewed at every stage boundary.
- If the Business Case is no longer valid, the project MUST be stopped.
- Justification can be financial (ROI, cost saving) or non-financial (compliance, safety).
- The Senior User and Executive on the Project Board own the Business Case.
- Tolerances allow work to continue without constant board approval — but within agreed limits.

P2

PRINCIPLE



Teams using lessons logs are 3x more likely to repeat success

Learn from Experience

PRINCE2 project teams should actively learn from previous projects and capture lessons throughout the current project.

- A Lessons Log is created at the start and updated continuously throughout.
- Previous lessons are sought and applied at project start-up.
- Lessons are reviewed at every stage boundary and at project closure.
- A Lessons Report is created at project closure for future use.
- Lessons may come from internal experience or external sources.
- Lessons prevent repeated mistakes and promote continuous improvement.

P3

PRINCIPLE



Defined Roles & Responsibilities

PRINCE2 requires that all stakeholders — internal and external — have clearly defined and agreed-upon roles and responsibilities.

- Business, User and Supplier interests must all be represented in the project.
- The Project Board represents the three key stakeholder interests at the top.
- Role descriptions are documented in the Project Initiation Documentation (PID).
- Roles can be combined, shared or delegated — but must all be covered.
- PRINCE2 defines standard roles: Executive, Senior User, Senior Supplier, PM, etc.
- Clear accountability means decisions can be made quickly and effectively.

63% of project failures are linked to unclear accountability

P4

PRINCIPLE

Manage by Stages

PRINCE2 divides projects into sequential management stages, each formally approved before the next begins.

- At minimum, a PRINCE2 project has TWO stages: Initiation Stage + one Delivery Stage.
- Each stage is a planning horizon — detailed plans are created stage by stage.
- The Project Board authorises each new stage before work begins.
- Between stages, the End Stage Report is submitted and reviewed.
- Stages provide decision points — continue, change, or stop the project.
- Stage length depends on project complexity, risk and planning horizon.

Stage-gated projects are 50% more likely to deliver on time

P5

PRINCIPLE

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Exception-based management reduces board meetings by up to 60%

Manage by Exception

Each level of management defines tolerances for the level below. Only exceptions (forecast breaches) are escalated.

- Six performance tolerances: Cost, Time, Quality, Scope, Risk and Benefits.
- The Project Board sets tolerances for the Project Manager for each stage.
- The PM sets tolerances for Team Managers for each Work Package.
- If a tolerance is forecast to be breached, an Exception Report is raised.
- The Project Board then issues a new directive — typically via an Exception Plan.
- This principle prevents micromanagement and empowers delivery teams.

P6

PRINCIPLE

Focus on Products

PRINCE2 is product-based: all work is focused on creating the agreed, defined products (outputs) of the project.

- A Product Description defines the purpose, composition, quality criteria and test method for each product.
- The Product Breakdown Structure (PBS) maps all products required in the project.
- Products can be management products (plans, reports) or specialist products (deliverables).
- Focus on products reduces scope creep — only agreed products are delivered.
- Product-based planning ensures quality is built in, not checked at the end.
- Work Packages define what a Team Manager must deliver and to what quality.

Product-based plans reduce scope creep by 40%

P7

PRINCIPLE

Tailor to Suit the Project

PRINCE2 must be tailored to the size, complexity, risk and context of the project — it is never applied rigidly.

- Tailoring adjusts the method — it does NOT mean removing principles.
- Practices, processes and management products can all be scaled or combined.
- Small projects may combine reports; large projects may add additional controls.
- The Project Approach document captures how PRINCE2 is applied to this project.
- Agile delivery methods can be integrated within PRINCE2 processes.
- Common tailoring examples: combined reports, virtual boards, shorter stages.

Properly tailored PRINCE2 improves adoption by 70%

SECTION 3

The 7 PRINCE2 Practices

Continuously Applied Throughout the Project Lifecycle

Overview: The 7 PRINCE2 Practices

Practices are the 'HOW' — applied continuously throughout all processes.

1	**Business Case**	Why?
2	**Organization**	Who?
3	**Quality**	What standard?
4	**Plans**	How? When? How much?
5	**Risk**	What if?
6	**Issues**	What now?
7	**Progress**	Where are we?

PRACTICE 1 · Business Case Practice

KEY QUESTION: WHY is the project being undertaken?

The Business Case justifies the project's existence — it documents costs, benefits, risks and timescale of expected returns.

- Created during Starting Up and refined during Initiation.
- Reviewed and updated at every stage boundary and major event.
- Contains: reasons, options, expected benefits, dis-benefits, timescale, costs, investment appraisal, major risks.
- The Executive on the Project Board owns the Business Case.
- If the Business Case is no longer viable, the project should be closed.
- Outcome Profile: documents the expected benefits with measurable criteria.

Management Product: Business Case, Benefits Management Approach

PRACTICE 2 · Organization Practice

KEY QUESTION: WHO is responsible for the project?

Defines the three-tier project management structure: Corporate, Project Board and Delivery Level.

- Three interests must be represented: Business, User and Supplier.
- Project Board = Executive + Senior User(s) + Senior Supplier(s).
- Project Manager runs day-to-day management; reports to the Project Board.
- Team Manager delivers the specialist products; reports to the Project Manager.
- Project Support and Project Assurance may exist to assist the PM.
- Change Authority may be delegated from the Project Board for minor changes.

Management Product: Project Initiation Documentation (PID)

PRACTICE 3 · Quality Practice

KEY QUESTION: WHAT standard must the products meet?

Quality in PRINCE2 means fitness for purpose — products must meet defined criteria before being accepted.

- Quality is defined BEFORE work starts — not checked at the end.
- Product Description: defines purpose, composition, quality criteria, test method, acceptance criteria.
- Quality Register: records all quality activities and their outcomes.
- Quality Management Approach: documents how quality will be controlled.
- Two types: quality planning (before) and quality control (during/after).
- Customer Quality Expectations are captured during Starting Up.

Management Product: Quality Register, Quality Management Approach

PRACTICE 4 · Plans Practice

KEY QUESTION: HOW will the project be delivered?

Plans are the backbone of PRINCE2 — they communicate what, how, when and by whom at every level.

- Three levels of plan: Project Plan, Stage Plan, Team Plan (optional).
- Exception Plans replace current plans when tolerances are forecast to be breached.
- Product-based planning technique: PBS → Product Flow → Activity Plan.
- Plans must cover: schedule, resources, quality, communication and risk.
- Stage Plans are more detailed than Project Plans — rolling wave approach.
- Plans should be realistic, achievable and agreed upon by all stakeholders.

Management Products: Project Plan, Stage Plan, Exception Plan

PRACTICE 5 · Risk Practice

KEY QUESTION: WHAT could go wrong (or right)?

Risk management is a continuous practice — PRINCE2 identifies both threats (negative) and opportunities (positive).

- Risk Management Approach documents the risk process for the project.
- Risk Register: lists all identified risks, their status and responses.
- Risk responses: Avoid, Reduce, Fallback, Transfer, Accept (for threats) and Exploit, Enhance, Share, Reject (for opportunities).
- Probability × Impact = Risk Exposure — used for prioritisation.
- Risk Owner: accountable for managing the risk response.
- Risk Actionee: carries out the risk response on behalf of the Owner.

Management Products: Risk Register, Risk Management Approach

PRACTICE 6 · Issues Practice

KEY QUESTION: How are problems and changes handled?

Issues are any event that requires a decision — including requests for change, off-specifications and problems.

- Three types of issue: Request for Change (RFC), Off-Specification, Problem/Concern.
- Issue Register: records all formal issues and their status.
- Change Authority may be delegated to handle Requests for Change within a budget.
- Change Budget: funds set aside for approved changes.
- Issue Report: formal document for issues requiring board-level decision.
- Configuration Management: tracks the state and version of all products.

Management Products: Issue Register, Issue Report, Configuration Item Records

PRACTICE 7 · Progress Practice

KEY QUESTION: WHERE are we against the plan?

Progress monitors the project's status and forecasts against the baseline, reporting at every level of management.

- Checkpoint Reports: Team Manager to PM (weekly or fortnightly).
- Highlight Reports: PM to Project Board (usually monthly or per stage).
- End Stage Reports: summarise the completed stage before requesting next stage approval.
- Lessons Reports: capture what has been learned for future projects.
- End Project Report: final status report at project closure.
- Tolerances define the acceptable range before escalation is required.

Management Products: Highlight Report, Checkpoint Report, End Stage Report

Key Management Products Reference

Documents and records that PRINCE2 requires to be created and maintained

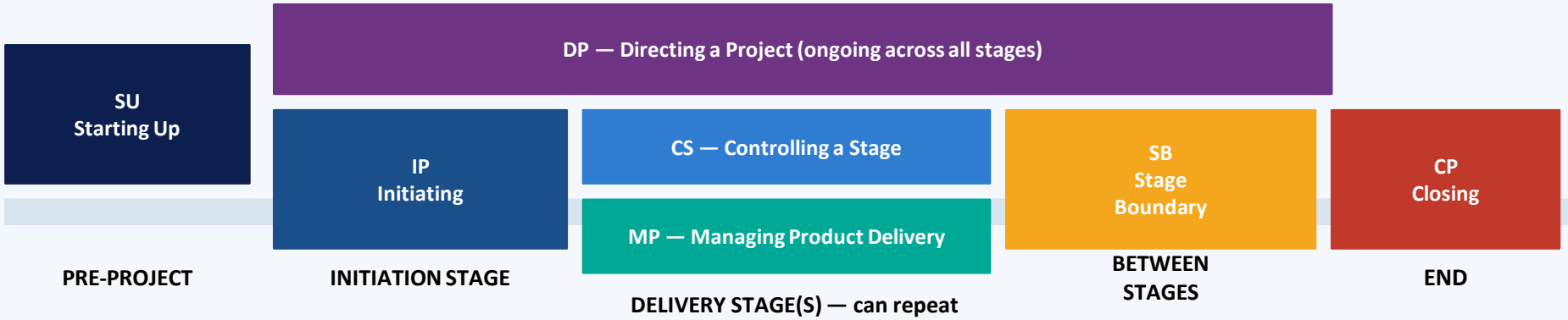
Project Mandate	Triggers the project from corporate level
PID	Project Initiation Documentation — the project contract
Risk Register	Log of all risks, their status and responses
Quality Register	Record of all quality checks and their results
Highlight Report	PM's progress update to the Project Board
End Project Report	Final project closure summary
Project Brief	Provides outline for the Initiation Stage
Business Case	Justification for the project investment
Issue Register	Log of all formal issues raised
Lessons Log	Ongoing record of lessons to apply or share
End Stage Report	Summary of a completed stage for board review

SECTION 4

The 7 PRINCE2 Processes

The Step-by-Step Project Lifecycle

The 7 PRINCE2 Processes — Lifecycle Overview



SU — Starting Up a Project:	Pre-project: appoint Executive & PM, create Project Brief, plan Initiation Stage.
DP — Directing a Project:	Project Board: authorize stages, manage by exception, give ad hoc direction.
IP — Initiating a Project:	Set up controls, create PID, detailed Stage Plan for first delivery stage.
CS — Controlling a Stage:	PM authorizes and monitors Work Packages, manages issues and risks.
MP — Managing Product Delivery:	Team Manager accepts, executes and delivers Work Packages.
SB — Managing a Stage Boundary:	PM updates plans, reports on stage, requests next stage authorization.
CP — Closing a Project:	PM confirms acceptance, captures lessons, requests project closure.

PROCESS: SU · Starting Up a Project

WHEN: Before the Initiation Stage — pre-project activity. Very brief.

PURPOSE: To answer: Do we have a viable and worthwhile project? Establish the foundations before committing resources to Initiation.

KEY ACTIVITIES:

- Appoint the Executive and Project Manager.
- Capture previous lessons for the Lessons Log.
- Design and appoint the project management team.
- Prepare the Project Brief (from the Project Mandate).
- Select the Project Approach (how the project will deliver).
- Plan the Initiation Stage.

KEY OUTPUTS

- Project Brief
- Initiation Stage Plan
- Lessons Log
- Project Management Team structure

PROCESS: DP · Directing a Project

WHEN: Runs in parallel throughout the entire project — from Initiation to Close.

PURPOSE: To enable the Project Board to exercise overall control and take key decisions while delegating day-to-day management.

KEY ACTIVITIES:

- Authorise the Initiation Stage.
- Authorise the Project (approve the PID).
- Authorise a Stage or Exception Plan.
- Give ad hoc direction in response to Highlight Reports and Exception Reports.
- Authorise project closure.

KEY OUTPUTS

- Project authorisation
- Stage/Exception authorisations
- Closure confirmation

PROCESS: IP · Initiating a Project

WHEN: During the Initiation Stage — after SU but before delivery begins.

PURPOSE: To establish solid foundations for the project — ensuring all stakeholders understand what, why, how, who and when.

KEY ACTIVITIES:

- Agree the tailoring approach for PRINCE2.
- Prepare the Risk Management Approach.
- Prepare the Quality Management Approach.
- Prepare the Change Control Approach.
- Prepare the Communication Management Approach.
- Set up project controls and create the Project Plan.
- Refine the Business Case.
- Assemble the Project Initiation Documentation (PID).

KEY OUTPUTS

PID

Project Plan

Risk/Quality/Change/Communication Approaches

PROCESS: CS · Controlling a Stage

WHEN: During each Delivery Stage — the core operational process.

PURPOSE: To assign work, monitor progress, manage risks/issues and report to the Project Board.

KEY ACTIVITIES:

- Authorise Work Packages to Team Managers.
- Review Work Package status via Checkpoint Reports.
- Capture and examine new issues and risks.
- Escalate issues and risks beyond tolerance to the Project Board.
- Prepare and send Highlight Reports to the Project Board.
- Take corrective action within tolerance.

KEY OUTPUTS

- Work Packages
- Highlight Reports
- Issue/Exception Reports

PROCESS: MP · Managing Product Delivery

WHEN: Runs in parallel with CS — the Team Manager's process.

PURPOSE: To ensure products are created and delivered to the agreed quality, within tolerance.

KEY ACTIVITIES:

- Accept a Work Package from the Project Manager.
- Execute the Work Package (create the specialist products).
- Apply quality checks as defined in Product Descriptions.
- Update the Quality Register with test results.
- Deliver the Work Package back to the Project Manager.

KEY OUTPUTS

- Completed products
- Quality Register updates
- Checkpoint Reports

PROCESS: SB · Managing a Stage Boundary

WHEN: At the end of each management stage (except the final stage).

PURPOSE: To report on the completed stage and provide the Project Board with all information needed to authorise the next stage.

KEY ACTIVITIES:

- Update the Project Plan and Business Case.
- Prepare the End Stage Report.
- Plan the next Stage (detailed Stage Plan).
- Update the Risk Register, Issue Register, Lessons Log.
- Request Project Board authorisation to continue.
- If in exception: prepare an Exception Plan instead of a Stage Plan.

KEY OUTPUTS

- End Stage Report
- Next Stage Plan
- Updated Project Plan
- Updated Business Case

PROCESS: CP · Closing a Project

WHEN: At the end of the final stage (or when closure is triggered early).

PURPOSE: To confirm the project has delivered what was expected, release resources and hand over to operations.

KEY ACTIVITIES:

- Confirm acceptance of the project's products by the customer.
- Evaluate the project against the original PID (costs, schedule, scope, quality).
- Identify follow-on actions and outstanding risks.
- Update the Lessons Log and prepare the Lessons Report.
- Prepare the End Project Report.
- Recommend the project for closure to the Project Board.

KEY OUTPUTS

- End Project Report
- Lessons Report
- Follow-on Action Recommendations

PRINCE2 Project Roles & Responsibilities

Three-tier structure: Corporate/Programme → Project Board → Delivery

Executive
Project Board

Owns the Business Case; chairs the Project Board; takes final decisions.

Senior User
Project Board

Represents those who will use the products; ensures user requirements are met.

Senior Supplier
Project Board

Represents those building the products; ensures supplier commitments are realistic.

Project Manager
Management

Day-to-day management of the project on behalf of the Project Board.

Team Manager
Delivery

Manages a team to deliver specialist products to agreed quality and schedule.

Project Assurance
Assurance

Monitors the project on behalf of the Project Board; independent of PM.

Change Authority
Optional

Delegated authority to approve minor changes without board involvement.

Project Support
Support

Administrative support to the PM — plans, registers, filing, tools.

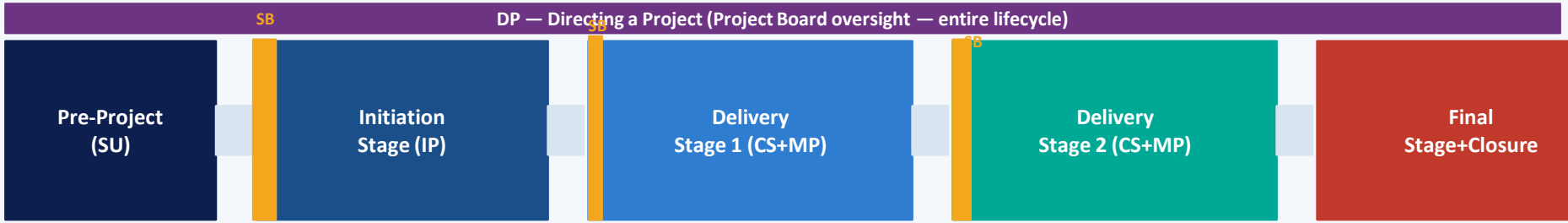
The Project Board — In Depth

The highest authority within the project

EXECUTIVE Business perspective	SENIOR USER User perspective	SENIOR SUPPLIER Supplier perspective
• Owns the Business Case • Chairs the Project Board • Accountable for the project • Represents corporate/programme • One person only — no sharing	• Specifies user requirements • Ensures products are usable • Monitors benefits realisation • Can be multiple people • Links to operational teams	• Represents those building • Commits specialist resources • Confirms technical feasibility • Can be internal or external • Checks quality of outputs

The Project Board manages by exception — it only meets when required to make key decisions.

Complete Project Lifecycle — Stage by Stage



- Stage Boundary (SB): Project Board reviews End Stage Report and authorises next Stage Plan.
- Each stage has its own detailed Stage Plan, tolerances and End Stage Report.
- The number of delivery stages depends on complexity, risk and duration.
- PRINCE2 minimum: 2 stages (Initiation + at least one Delivery Stage).
- Exception Plans may replace a Stage Plan if a tolerance breach is forecast.
- CP (Closing a Project) occurs within the final delivery stage — not a separate stage.

Tolerances & Exception Management

The engine behind 'Manage by Exception'

Tolerances define the acceptable range of deviation before escalation is required.

Cost	Time	Quality	Scope	Risk	Benefits

Corporate/Programme → Project Board:

Sets the project-level tolerances in the Project Mandate or PID.

Project Board → Project Manager:

Sets stage-level tolerances for each Stage Plan.

Project Manager → Team Manager:

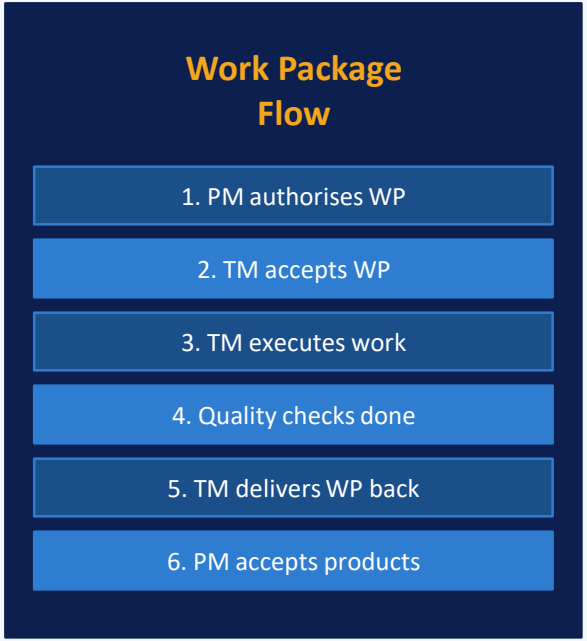
Sets Work Package tolerances within each Work Package.

⚠ **If a forecast breach occurs → Exception Report → Exception Plan → Board Decision**

The Work Package — Authorising Delivery

The mechanism by which the PM delegates work to a Team Manager

- Description of work and products to be created.
- Product Descriptions — quality criteria for each product.
- Interfaces and dependencies with other Work Packages.
- Joint agreement on effort, schedule and tolerances.
- Reporting requirements — frequency of Checkpoint Reports.
- Problem handling and escalation procedure.
- Change control arrangements specific to the Work Package.
- Sign-off and acceptance criteria.



A single stage may contain multiple Work Packages, running in parallel or sequentially.

SECTION 5

People, Sustainability & Digital

The New Dimensions in PRINCE2 7th Edition

People in PRINCE2 — The Human Element

New in PRINCE2 7th Edition: people are central to project success

PRINCE2 v7 recognises that even the best processes fail without effective people leadership.

Leadership

Project leaders must inspire, motivate and guide — not just direct and control. Leadership style should adapt to team maturity and context.

Communication

A Communication Management Approach ensures the right information reaches the right people at the right time.

Stakeholder Engagement

All parties with an interest in the project must be engaged, managed and kept informed throughout.

Team Dynamics

Building psychological safety, managing conflict and fostering collaboration are core PM competencies.

Change Leadership

Projects create change — PMs must help people understand, accept and embrace new ways of working.

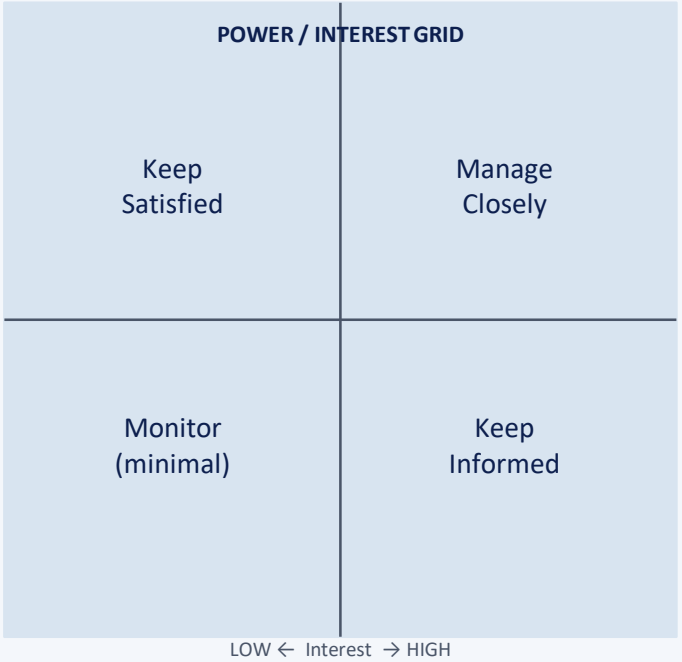
Emotional Intelligence

Self-awareness, empathy and social skills help PMs navigate difficult conversations and relationships.

Stakeholder Management in PRINCE2

Identifying, analysing and engaging all project stakeholders

- Stakeholders are individuals or groups with an interest in the project outcome.
- The Communication Management Approach documents HOW communication will be managed.
- Contents: stakeholder analysis, communication channels, frequency, format, responsibilities.
- Project Board members represent three key stakeholder interests: Business, User and Supplier.
- The PM must proactively engage stakeholders — not just inform them after the fact.
- Stakeholder resistance is a risk — it should be recorded in the Risk Register.



Stakeholders with high power and high interest must be managed most actively.

Sustainability in PRINCE2 7th Edition

New: Environmental, Social and Governance considerations in project delivery

Environmental	Consider carbon footprint, resource consumption, waste minimisation and environmental impact of project outputs.
Social	Assess social impact on communities, workers and stakeholders — diversity, wellbeing and social value.
Governance	Ensure ethical decision-making, transparency, accountability and regulatory compliance. Sustainability is now woven into the Business Case — benefits include non-financial (ESG) outcomes. Product Descriptions can specify sustainability quality criteria. End Project Reports should assess sustainability performance against targets.

Digital & Data Management in PRINCE2 7

New: Using technology and data effectively in project environments

Data Governance

- Define who owns project data
- Establish data quality standards
- Ensure GDPR / data compliance
- Manage data security risks
- Document data flows in PID

Digital Tools

- Project management software
- Collaboration platforms
- Automated reporting tools
- Cloud-based document management
- AI-assisted scheduling & risk

Agile Integration

- PRINCE2 supports agile delivery
- Iterative sprints within stages
- Product Backlog as a planning tool
- Kanban / Scrum for teams
- PRINCE2 Agile certification exists

PRINCE2 does not mandate tools — but version 7 explicitly encourages data-driven project management.

Tailoring PRINCE2 to the Project Context

Principle 7 in practice — adapting without removing

Tailoring is NOT optional — it is a PRINCE2 principle. Rigid application is incorrect.

Aspect	Small / Simple Project	Large / Complex Project
Processes	Combine SU + IP for very small projects	Full process with multiple sub-stages
Reports	Combine Highlight + Checkpoint into one	Separate reports per standard template
Stages	Just 2 stages (Initiation + 1 Delivery)	5–8+ stages with formal boundaries
Project Board	One person may hold multiple roles	Separate individuals for each role
Meetings	Virtual / email-based Project Board	Formal board meetings with minutes
Plans	Simple Gantt in spreadsheet	Detailed MS Project / Primavera plan

PRINCE2 vs Other Project Management Frameworks

Feature	PRINCE2	PMP / PMBOK	PRINCE2 Agile	Scrum
Type	Method	Framework/Standard	Method + Agile	Agile Framework
Owner	PeopleCert/AXELOS	PMI	PeopleCert	Scrum Alliance
Process-based?	✓ Yes (7 processes)	✓ Yes (5 process grps)	✓ Yes + sprints	✕ No formal
Exam required?	Foundation + Pract.	PMP (experience req.)	Foundation + Pract.	CSM / PSM
Best for	All project types	Complex programmes	Agile + governance	Software delivery
Tailoring	Core principle	Encouraged	Core principle	Limited

Risk Management — Deep Dive

PRINCE2 risk process: Identify → Assess → Plan → Implement → Communicate

1. Identify	Identify threats and opportunities. Use risk checklists, prompt lists, workshops and historical lessons.
2. Assess	Evaluate probability and impact. Create a Risk Probability/Impact Matrix. Calculate risk exposure.
3. Plan	Select risk responses: Avoid, Reduce, Fallback, Transfer, Accept (threats) or Exploit, Enhance, Share, Reject (opportunities).
4. Implement	Assign a Risk Owner (accountable) and Risk Actionee (carries out the response). Execute the response.
5. Communicate	Update the Risk Register. Report risks in Highlight Reports. Escalate risks beyond tolerance.

Risk Appetite: the amount of risk the organisation is willing to accept. Defined in the Risk Management Approach.

Quality Management — Deep Dive

PRINCE2 quality: defined before work starts, verified before acceptance

1. **Customer Quality Expectations**

   Gathered during Starting Up from the customer. Broad statements about what quality means to them.

2. **Acceptance Criteria**

   Measurable conditions that the project's products must satisfy to be accepted by the customer.

3. **Product Description**

   For every specialist product: Purpose, Composition, Quality Criteria, Quality Test Method, Source.

4. **Quality Register**

   Records every quality activity (tests, reviews, audits) with planned and actual dates and results.

5. **Quality Review Technique**

   Structured review where reviewers check a product against its Product Description before sign-off.

Change Control & Configuration Management

Managing changes and product baselines throughout the project

ISSUE MANAGEMENT

- Request for Change (RFC): a proposal to change a baseline product.
- Off-Specification: a product that fails to meet its specification.
- Problem/Concern: any event requiring a decision.
- Change Authority: a person or group delegated to approve minor changes.
- Change Budget: a financial allocation for approved changes.
- Issue Report: formal record of an issue requiring board decision.

CONFIGURATION MANAGEMENT

- Configuration Management tracks the status and version of all products.
- Configuration Item Record: unique record for each product showing its state.
- Product Status Account: report showing the status of all products.
- Baselines prevent unauthorised changes to approved products.
- All changes must be agreed upon, recorded and reflected in updated plans.
- Version control ensures the correct version is always used.

Every change must be formally requested, assessed for impact, approved or rejected, and tracked.

Communication Management in PRINCE2

The right information to the right people at the right time

Corporate / Programme	↓	Project Board	Project Mandate → triggers project
Project Board	↓	Project Manager	Stage Authorisation, Exception Directives
Project Manager	↑	Project Board	Highlight Reports, End Stage Reports, Exception Reports
Project Manager	↓	Team Manager	Work Packages authorised
Team Manager	↑	Project Manager	Checkpoint Reports, completed Work Packages

The Communication Management Approach documents all stakeholder communication needs and protocols.

Product-Based Planning — The PRINCE2 Planning Technique

Plan around products (outputs) not activities — the PRINCE2 way

1

Write the Project Product Description

Define the overall output of the project: purpose, composition, quality criteria, acceptance criteria and test method.

2

Create the Product Breakdown Structure (PBS)

Hierarchical decomposition of all products to be created — management, specialist and quality products.

3

Write Product Descriptions

For each specialist product: define purpose, composition, quality criteria, quality test method, and derivation.

4

Create the Product Flow Diagram

Show the sequence of product creation — which products are needed before others can be started.

5

Identify Activities & Dependencies

Only now define the activities needed to create each product — not the other way around.

6

Estimate & Schedule

Estimate effort and duration for each activity. Build the schedule showing the critical path.

SECTION 6

Exam Preparation

Foundation & Practitioner — What You Need to Know

PRINCE2 Foundation Exam — Full Guide

Exam Format	Multiple choice — 60 questions, 1 mark each
Duration	1 hour (closed book)
Pass Mark	36/60 = 60% (increased from 55% in v7)
Question Style	Standard, missing word, list (2 correct items), negative
Topics Covered	All 7 Principles, 7 Practices, 7 Processes, People, Context
Syllabus Level	Remember and understand (not application)
Prerequisites	None — open to all
Delivery	Online proctored (PeopleCert ExamShield) or paper
Certification	No expiry for Foundation (Practitioner requires renewal)
Study Time	20–30 hours recommended (plus course time)

PRINCE2 Practitioner Exam — Full Guide

Exam Format	Objective test — 70 questions (increased from 68 in v7)
Duration	2.5 hours (open book — official PRINCE2 manual)
Pass Mark	42/70 = 60% (increased from 55% in v7)
Question Style	Scenario-based — one of four scenarios in the manual
Topics Covered	Application of principles, practices, processes in context
Syllabus Level	Apply and analyse — not just recall
Prerequisites	PRINCE2 Foundation (v6 or v7) required
Delivery	Online proctored (PeopleCert ExamShield)
Certification	3-year expiry — maintenance via CPD or re-sit
Study Time	50+ hours recommended including Foundation

SAMPLE EXAM QUESTION 1 · Topic: 7 Principles

Which of the following is NOT a PRINCE2 Principle?

A. Continued Business Justification

B. Learn from Experience

C. Manage by Milestones

D. Focus on Products

✓ CORRECT ANSWER: C — 'Manage by Milestones' is not a PRINCE2 principle. The correct 4th principle is 'Manage by Stages'. The other three listed are genuine PRINCE2 principles.

SAMPLE EXAM QUESTION 2 · Topic: Processes

During which process is the Business Case first developed in detail?

A. Starting Up a Project

B. Directing a Project

C. Initiating a Project

D. Controlling a Stage

✓ CORRECT ANSWER: C — An outline Business Case is created during Starting Up (SU), but it is fully developed and refined during Initiating a Project (IP) when the PID is assembled.

SAMPLE EXAM QUESTION 3 · Topic: Organization

Who on the Project Board is accountable for the Business Case?

A. Senior Supplier

B. Senior User

C. Project Manager

D. Executive

✓ CORRECT ANSWER: D — The Executive owns and is accountable for the Business Case. The Project Board as a whole is responsible for overall project governance, but the Executive takes personal ownership of the BC.

SAMPLE EXAM QUESTION 4 · Topic: Manage by Exception

A project manager forecasts that a stage will exceed its time tolerance. What should they do FIRST?

A. Update the Stage Plan immediately

B. Raise an Exception Report to the Project Board

C. Ask the team to work overtime to recover

D. Request a Change Budget

✓ CORRECT ANSWER: B — When a tolerance is FORECAST to be breached (not just at risk), the PM must raise an Exception Report immediately. The Project Board will then decide how to respond — typically by issuing an Exception Plan.

SAMPLE EXAM QUESTION 5 · Topic: Management Products

Which document formally captures the agreed scope, objectives and approach for a project?

A. Project Brief

B. Project Mandate

C. Project Initiation Documentation (PID)

D. Stage Plan

✓ CORRECT ANSWER: C — The PID is the key document assembled during the Initiating a Project process. It forms the 'contract' between the Project Board and the PM, capturing scope, approach, controls and all management strategies.

Top 10 PRINCE2 Exam Tips

1. Know ALL 7 Principles — they are mandatory and frequently tested. Any one missing = not PRINCE2.
2. Understand the difference between Practices (WHAT) and Processes (HOW/WHEN).
3. Memorise the 7 Processes in order — many questions test sequence and ownership.
4. Know WHICH roles sit on the Project Board and WHO owns what (Business Case = Executive).
5. Understand tolerances: 6 types, 3 management levels, exception = forecast breach (not actual).
6. Management products — know the name, who creates it and which process it belongs to.
7. Business Case is reviewed at EVERY stage boundary — if invalid, STOP the project.
8. Risk responses: AVTR Accept for threats; ESRX Exploit/Enhance/Share/Reject for opportunities.
9. Tailoring ≠ removing principles — you can tailor processes and reports, never principles.
10. Read every question carefully — PRINCE2 exams use precise language. 'Should', 'must', 'recommend'.

Common PRINCE2 Mistakes to Avoid

✗ Thinking tailoring means removing principles	✓ Tailoring adjusts processes and reports — 7 principles are always applied.
✗ Confusing the Project Board role names	✓ Executive = Business; Senior User = Users; Senior Supplier = Builders.
✗ Saying the PM owns the Business Case	✓ The Executive owns the Business Case — the PM maintains it.
✗ Thinking any issue = Exception Report	✓ Only a FORECAST tolerance breach triggers an Exception Report.
✗ Mixing up End Stage vs End Project Report	✓ ESR = between stages; EPR = at project closure.
✗ Forgetting to include non-financial benefits	✓ Benefits can be compliance, safety, sustainability, reputational etc.

Key PRINCE2 Glossary — Part 1 (A–M)

Acceptance Criteria	Measurable conditions a project's output must meet to be accepted.
Baseline	Reference configuration of a product against which changes are measured.
Business Case	Justification document for the project: costs, benefits, risks, timeline.
Change Authority	Person/group delegated to approve minor changes within a budget.
Change Budget	Financial reserve allocated for approved changes to baseline products.
Checkpoint Report	Progress report from Team Manager to Project Manager.
Configuration Item Record	Unique record tracking the status and version of each product.
Exception Report	PM's report to Project Board when a stage tolerance is forecast to be breached.
Executive	Project Board role — owns Business Case; chairs board; accountable for project.
Highlight Report	PM's regular progress update report to the Project Board.
Lessons Log	Ongoing record of lessons to be applied or captured for future projects.
Management Stage	A section of the project the PM is authorised to manage.

Key PRINCE2 Glossary — Part 2 (P–W)

PID	Project Initiation Documentation — the 'contract' for the project.
Product Description	Document defining purpose, composition and quality criteria of a product.
Product Breakdown Structure	Hierarchical diagram showing all products required for the project.
Project Board	Executive + Senior User + Senior Supplier — overall project authority.
Project Brief	Document prepared in SU — provides basis for Initiation Stage.
Project Mandate	Corporate trigger document that starts the pre-project activity.
Quality Register	Log of all planned and completed quality activities in the project.
Risk Appetite	Amount of risk the organisation is willing to accept on a project.
Risk Register	Log of all identified risks, their status and selected responses.
Stage Plan	Detailed plan for a single management stage — owned by the PM.
Tolerance	Permitted deviation from a plan before escalation is required.
Work Package	Formal assignment of work from the PM to a Team Manager.

The Initiation Stage — Setting Up for Success

The most critical stage — lays the groundwork for the entire project

- Agree how PRINCE2 will be tailored for THIS project.
- Prepare the Risk Management Approach — methodology, responsibilities, tools.
- Prepare the Quality Management Approach — quality standards, testing, reviews.
- Prepare the Change Control Approach — change procedure, authority, budget.
- Prepare the Communication Management Approach — stakeholder comms plan.
- Establish project controls — reporting frequencies, meeting schedule, tolerances.
- Create the Project Plan — high-level plan for the entire project.
- Refine the Business Case — full cost-benefit analysis and investment appraisal.
- Assemble the Project Initiation Documentation (PID) — the project 'contract'.
- Plan the first Delivery Stage in detail — create Stage Plan 2.

The initiation stage is NOT for delivery — it is for setting up the governance for delivery.

Configuration Management in Detail

Tracking and protecting the integrity of all project products

1. **Planning:**
   Define the configuration management system — how products will be identified, stored and tracked.

2. **Identification:**
   Assign a unique identifier to each product. Define attributes: version, author, date, status.

3. **Control:**
   Protect baselines — only approve changes through formal change control. Prevent unauthorised changes.

4. **Status Accounting:**
   Record and report on the status of each configuration item. Produce Product Status Accounts.

5. **Verification & Audit:**
   Periodically check that the physical products match the records. Resolve discrepancies.

End Stage Report vs End Project Report

Two critical closure documents — one per stage, one at project end

END STAGE REPORT

- Prepared by: Project Manager
- Audience: Project Board
- When: At every stage boundary
- Contents: Stage performance vs Stage Plan
- Actual vs planned: cost, time, scope, quality
- Risk/issue status update
- Updated Business Case
- Lessons learned in stage
- Recommendation for next stage

END PROJECT REPORT

- Prepared by: Project Manager
- Audience: Project Board / Corporate
- When: During Closing a Project
- Contents: Project performance vs PID
- Final cost vs approved budget
- Benefits achieved vs expected
- Outstanding issues/risks follow-on
- Lessons for future projects
- Recommendation to close

PRINCE2 Responsibilities Matrix — Summary

Role	Owns/Creates	Approves	Informs
Executive	Business Case	PID, Stage Plans, Closure	Corporate Body
Senior User	User Requirements	Acceptance Criteria	Executive
Senior Supplier	Supplier Resourcing	Technical Feasibility	Project Board
Project Manager	PID, Plans, Reports	Work Packages	Project Board
Team Manager	Specialist Products	Checkpoint Reports	Project Manager
Project Assurance	Assurance Reviews	Quality Reports	Project Board
Project Support	Admin Records	None (advisory)	Project Manager

PRINCE2 Agile — Blending PRINCE2 with Agile Delivery

Separating project governance from delivery approach

PRINCE2 Agile combines the governance structure of PRINCE2 with the flexibility of agile delivery methods.

PRINCE2 Provides	Agile Provides	Key Principle
• Project governance • Roles & Responsibilities • Stage-based control • Business Case • Risk/Quality management • Formal reporting	• Iterative delivery (sprints) • Backlog management • Self-organising teams • Continuous feedback • Working software early • Kanban / Scrum ceremonies	• Fix time and cost • Flex scope • PRINCE2 tolerances govern what gets delivered • Timeboxes replace stages at team level • Daily standups in CS • Retrospectives → Lessons Log

PRINCE2 Agile is a separate certification — it is NOT the same as applying agile techniques within a standard PRINCE2 project.

Business Case — Full Contents

The most important document in PRINCE2 — justifies the entire investment

Reasons

Why is this project needed? What problem or opportunity does it address?

Business Options

Do nothing vs available options. Why is the chosen option preferred?

Expected Benefits

Measurable improvements resulting from the project outcomes.

Expected Dis-benefits

Negative outcomes that are knowingly accepted (e.g. redundancies, disruption).

Timescale

When will benefits be realised? When will the investment be recouped?

Costs

Total investment: development costs, running costs, transition costs.

Investment Appraisal

NPV, ROI, IRR or payback period. Financial justification of the investment.

Major Risks

Top risks that could affect whether the business objectives are met.

Exception Scenario — Step-by-Step Walkthrough

What happens when a tolerance is forecast to be breached

1. Tolerance Breach Forecast

PM realises Stage Plan will be exceeded (e.g. cost +15% beyond ±10% tolerance).

2. Exception Report Raised

PM prepares an Exception Report explaining what happened, options and recommendation.

3. Project Board Reviews

Board reviews the Exception Report. May request ad hoc direction meeting.

4. Board Decision

Board chooses: Continue with Exception Plan / Escalate / Premature Close / Wait.

5. Exception Plan Created

If continuing, PM creates an Exception Plan to replace the current Stage Plan.

6. Exception Plan Approved

Project Board approves the Exception Plan. Project continues under new plan.

Benefits Management in PRINCE2

Connecting project outputs to business outcomes



- The Benefits Management Approach documents HOW benefits will be measured and reviewed.
- Benefits Review Plan: defines WHO will review benefits, WHEN and HOW.
- Some benefits will only be realised AFTER project closure — operations must track them.
- Dis-benefits (negative outcomes) must also be tracked and managed.
- The Executive is ultimately responsible for benefit realisation.
- Benefits should be SMART: Specific, Measurable, Achievable, Relevant, Time-bound.
- Projects create outputs — only OPERATIONAL USE of those outputs realises benefits.
- PRINCE2 v7: sustainability and social benefits are now explicitly included.

PRINCE2 KEY NUMBERS — Memory Card

7 Principles	**7** Practices	**7** Processes	**6** Performance Aspects	**5** Integrated Elements
3 Project Board Roles	**3** Management Levels	**3** Issue Types	**60** Foundation Questions	**70** Practitioner Questions
60% Pass Mark (both)	**3yr** Practitioner Renewal	**2+** Min Stages per Project	**1hr** Foundation Duration	**2.5hr** Practitioner Duration

PRINCE2 Certification Pathway & Career Value

Level 1
PRINCE2 Foundation
Understand the method

Level 2
PRINCE2 Practitioner
Apply the method

Level 3
PRINCE2 Agile Practitioner
Agile governance

Level 4
MSP (Managing Successful Programmes)
Programme management

Level 5
MoP (Management of Portfolios)
Portfolio management

- 62% of PRINCE2 practitioners report increased job security after certification.

PRINCE2 Quick Reference — All the 7s

7 PRINCIPLES	7 PRACTICES	7 PROCESSES
• Continued Business Justification • Learn from Experience • Defined Roles & Responsibilities • Manage by Stages • Manage by Exception • Focus on Products • Tailor to Suit the Project	• Business Case • Organization • Quality • Plans • Risk • Issues • Progress	• Starting Up a Project (SU) • Directing a Project (DP) • Initiating a Project (IP) • Controlling a Stage (CS) • Managing Product Delivery (MP) • Managing a Stage Boundary (SB) • Closing a Project (CP)

PRINCE2 in Practice — Case Study

Scenario: Digital Transformation Project at a UK Local Council

Starting Up	Council CEO (Executive) appoints IT Director as PM. Project Mandate issued. Feasibility reviewed. Team formed.
Initiation	PID created. Business Case shows £2M savings over 5 years. Stage Plan 1 approved by board. Risk Register set up.
Delivery Stage 1	Work Packages issued to IT supplier team. Checkpoint Reports weekly. Stage completed on time and budget.
Stage Boundary	End Stage Report presented. Board approves Stage 2 with updated Business Case and revised tolerances.
Exception Event	Software integration costs forecast to breach by 25%. Exception Report raised. Board approves Exception Plan.
Project Closure	All products signed off. End Project Report presented. Benefits review scheduled for 12 months post-closure.

Practitioner Exam — Scenario Answering Technique

How to tackle the 2.5-hour scenario-based Practitioner exam

1. Read the scenario BEFORE the questions — understand the project context, issues and key roles.
2. Always answer from a PRINCE2 perspective — what SHOULD happen, not what might happen in real life.
3. Use the official PRINCE2 manual (open book) — it is indexed. Know where the key sections are.
4. Time management: 70 questions in 150 minutes = ~2 minutes per question. Do not over-analyse.
5. Look for 'most likely' answers — PRINCE2 is about best practice. Eliminate clearly wrong options first.
6. If two answers seem right, choose the one that follows the MOST PRINCE2-specific process.
7. Roles matter in scenario questions — who does WHAT? Who approves? Who reports to whom?
8. Questions about tolerances: identify WHO set the tolerance and WHAT kind of breach is described.
9. Practice with official sample papers — use the PeopleCert sample exam on their website.
10. After practice questions, always review the OFFICIAL rationale — not just the right answer.

Self-Assessment Checklist — Are You Exam Ready?

- ☐ I can name and describe all 7 Principles from memory.
- ☐ I can name all 7 Processes in the correct sequence.
- ☐ I can describe the three Project Board roles and what each one is responsible for.
- ☐ I know the difference between a Stage Plan and an Exception Plan.
- ☐ I understand the difference between a Risk Owner and a Risk Actionee.
- ☐ I understand the product-based planning technique and the Product Description.
- ☐ I know the Practitioner exam format (70 Qs, 2.5hr, 60% pass, open book).
- ☐ I know which Practice answers each key management question (WHY? WHO? WHAT? HOW? etc.).
- ☐ I know the PURPOSE of each process and when it occurs.
- ☐ I understand tolerances — what they are, who sets them and when an Exception Report is needed.
- ☐ I can list the key management products and who creates each one.
- ☐ I know the 5 threat responses and 4 opportunity responses.
- ☐ I know the Foundation exam format (60 Qs, 1hr, 60% pass, closed book).
- ☐ I have practised with at least two sets of sample questions.

Critical Distinctions — Often Confused in Exams

Project Brief	VS	**PID**	Brief = pre-initiation overview. PID = full project contract assembled during Initiation.
Risk Owner	VS	**Risk Actionee**	Owner = accountable for managing the risk. Actionee = carries out the response actions.
Stage Plan	VS	**Exception Plan**	Stage Plan = standard plan for a stage. Exception Plan = replacement plan when tolerance is forecast breached.
End Stage Report	VS	**End Project Report**	ESR = between stages (multiple). EPR = only at project closure (once).
Lessons Log	VS	**Lessons Report**	Log = ongoing record throughout. Report = formal output created at stage or project closure.
Tailoring	VS	**Embedding**	Tailoring = adjusting PRINCE2 for a project. Embedding = making PRINCE2 standard in an organisation.

Further Study Resources

Official and recommended resources for PRINCE2 exam preparation

Official Manual	Managing Successful Projects with PRINCE2 — 7th Edition (PeopleCert) ↳ *peoplecert.org*
Official Syllabus	Download the PRINCE2 7 Foundation & Practitioner Syllabus PDFs from PeopleCert ↳ *peoplecert.org*
Sample Papers	Official Foundation and Practitioner sample papers — free from PeopleCert website ↳ *peoplecert.org*
QA / Knowledge Academy	UK-based training providers with accredited PRINCE2 courses (classroom and online) ↳ *qa.com* | *theknowledgeacademy.com*
Axelos / PeopleCert Portal	My PRINCE2 portal for certification maintenance, CPDs and digital badges ↳ *peoplecert.org*
ProcessExam / Projex	Free online practice questions and detailed rationale for PRINCE2 Foundation & Practitioner ↳ *processexam.com* | *projex.com*

You Are Now PRINCE2 Ready

PRINCE2® 7th Edition — Complete Tutorial

- ✓ 7 Principles · Always apply, never remove
- ✓ 7 Practices · Address continuously throughout
- ✓ 7 Processes · Follow the lifecycle step-by-step
- ✓ People · Lead, communicate, engage stakeholders
- ✓ Tailoring · Adapt PRINCE2 to YOUR project context

Good luck with your PRINCE2 Foundation and Practitioner exams!

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